LFB HOLDINGS

Decision Distortion Assessment Reports

BASE REPORT

Your Decision Distortion Assessment — Accumulation Is Your Dominant Force

Your assessment is in. Of the four forces that bend organizational judgment under pressure, accumulation is showing up most actively in your company right now. It's the quietest of the four forces — and typically the last one an organization recognizes in itself, because every individual decision that produced it looked reasonable when it was made.

Of the four forces — noise, bias, accumulation, and incentive misalignment — accumulation is the only one that operates across decisions rather than within them. Noise distorts individual judgment calls. Bias bends the direction of individual calls. Incentives govern how fast either compounds. Accumulation is different: no single decision has to go wrong for it to take hold. What it requires is simply that addition keeps winning over subtraction, decision after decision, until the aggregate weight of individually-defensible choices has made the next decision harder than it needs to be.

What accumulation is

Accumulation is what happens when organizations have a deeply ingrained, largely invisible default toward addition — adding features, processes, hires, metrics, and strategic priorities when faced with a problem — while systematically overlooking subtraction as an equally valid path forward.

This isn't a preference. It's a cognitive accessibility failure: additive options come to mind first, readily and automatically. Subtractive options require deliberate generation, and under pressure, deliberate generation is exactly what's in short supply. The pull operates at three reinforcing levels. Cognitively, addition is simply more accessible — it surfaces first. Culturally, accumulation looks like action; subtraction leaves no visible trace. And economically, the incentive structures of venture-backed companies reward what gets built and launched, not what gets wisely stopped or removed.

Each individual addition — a feature, a process, a hire — seems reasonable in isolation. The problem only becomes visible in aggregate. And by the time it does, the aggregate has made the next decision harder: more variables, more stakeholders, more weight resisting clarity.

How it typically shows up

Facing a new competitor, a Series C company launches two new product modules, attacks both enterprise and SMB simultaneously, and spins up four parallel pilots. The KPI dashboard swells to fifteen metrics. Decision rights blur. Coordination meetings triple while capital spreads thin. From outside, it looks like scaling execution issues. From inside, every one of those decisions felt justified — the modules addressed real gaps, the market expansion was based on real signals, the pilots were tracking real opportunities. What none of those individual decisions accounted for was what all of them together had created: a company that had outrun its own ability to steer.

The hardest part of accumulation is that no single decision was wrong. The aggregate was the problem. And the aggregate was invisible until the speed dropped and the burn rose.

Where your assessment is pointing most clearly within accumulation is on sunk cost — the specific form of accumulation in which prior investment becomes the primary argument for continued investment. The question your assessment flagged is the clearest expression of escalation of commitment: the evaluation of whether to continue is being run against what's already been spent rather than against what the future actually looks like from here. This is loss aversion operating as strategy. Stopping triggers the full psychological weight of the sunk investment as a realized loss. Continuing defers that accounting while preserving the possibility that the original thesis is still right. The mechanism that makes this tractable is the pre-committed trigger: before significant investment begins, define the specific observable condition that would indicate the thesis isn't holding — and bind the team to evaluate it on a fixed date, independent of how much has been spent by then. The question is never what we've invested. The question is always whether the expected value of what's ahead justifies what it will cost to get there.

Where to start

The first intervention is a pre-committed trigger defined before significant investment begins. Before the organization commits meaningful resources to a direction, write down — in advance, with the room's agreement — the specific observable condition that would indicate the thesis isn't holding. Not a vague "if things get worse." A named metric, a named date, a named threshold. When that condition is met, the re-evaluation happens automatically, independent of how much has been spent by then. The trigger converts the re-evaluation from a choice — which loss aversion will reliably prevent — into a pre-committed obligation, which is harder to quietly ignore.

The second is a future-value reframe as the required language for continuation decisions. When a direction is under review, the only question on the table is whether the expected value of what's ahead justifies what it will cost to get there. What has already been spent is explicitly off the table — not because it doesn't matter emotionally, but because it cannot change what the future looks like from here. Naming this rule out loud at the start of the continuation conversation doesn't eliminate the pull of sunk cost. It makes the pull visible, which is the first condition for not letting it make the decision.

The research behind this

The academic foundation for what your assessment detected comes primarily from Subtract: The Untapped Science of Less by Leidy Klotz — the most direct account of addition default and why subtractive options systematically fail to surface when organizations are under pressure to improve. The finding that's most directly applicable to your situation: even when adding and subtracting require identical effort, people still overwhelmingly default to addition. The default isn't about convenience. It's cognitive, cultural, and economic simultaneously — which is why it takes a structural intervention to counteract it.

What's next

The full Decision Distortion whitepaper from LFB Holdings walks through how accumulation combines with the other three forces — noise, bias, and incentive misalignment — and how to locate the specific points in your decision process where a single closed gap would have the greatest effect.

If you'd like to talk through what your results mean for your company specifically, we're glad to do that.

LFB Holdings: lfbholdings.com

For ongoing case-by-case analysis of how these forces operate in real organizational decisions, Bad Call is a subscription brief that applies this framework to actual decision sequences — company autopsies, one at a time. **Bad Call:** badcall.ai